Necessary infusion: On the RBI's currency swap

The RBI's long-term **currency swap** was **likely** forced by financial **volatility**

The Reserve Bank of India's (RBI) recent **decision** to **inject** an additional $10 billion into the financial system through a dollar/rupee swap **auction** **is** a timely measure aimed at **addressing** long-term liquidity concerns among domestic lenders. These concerns **stem from** a **flight** of foreign capital from Indian stock markets, as investors **seek** better returns in the United States amid President Donald Trump's **proposed** corporate tax cuts and ongoing tariff wars, which have **strengthened** the U.S. dollar against global currencies. This **marks** the second such rupee infusion in less than a month. However, **unlike** the first **tranche** of $5 billion on January 31, which had a six-month **tenor**, the latest swap auction has a three-year duration. The combined **effect** of these two auctions **will** inject approximately ₹1.3 trillion into the banking system, as **lenders** deposit their dollar reserves with the RBI in exchange for rupees at a pre-determined **buyback premium**. Currency swaps are among the tools central banks **deploy** during periods of high volatility in the global financial system. These measures have the primary aim of **stabilising** the local currency, **mitigating liquidity constraints** in the domestic financial system, and **curbing inflationary** pressures. Economists estimate that an additional $5 billion infusion may be necessary to **neutralise** the ₹1.7 trillion liquidity **deficit** in India's banking system as of February 20, 2025.

This is the second time that the RBI has conducted a long-duration currency swap. The first was in 2019, in response to global financial volatility during Mr. Trump's first term, amid trade tariff tensions and tax cuts. However, unlike 2019, when India's foreign exchange reserves were rising, ensuring dollar availability while rupee liquidity remained **constrained**, today's situation is more challenging. Between October 2024 and February 21, 2025, the rupee has **depreciated** approximately 3.3% against the dollar, breaching the 85 per dollar **mark** on December 19, 2024. **Foreign portfolio investors** and **foreign institutional investors** have also withdrawn roughly $31 billion from Indian equity markets. Since December 2024, the RBI has sold an estimated $111.2 billion (about 18% of its foreign exchange reserves) to stabilise the rupee. **Given** these conditions, the latest long-term currency swap appears to be a necessity rather than a **proactive** measure. Indian banks must **capitalise on** this liquidity infusion by continuing to extend credit, ensuring that the cycle of capital investment, employment generation, wage growth, and consumer demand remains **intact**. **This**, in turn, **could** help **propel** India's real GDP growth beyond the current 6.4%, despite **prevailing** global economic **headwinds**. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'

Vocabulary

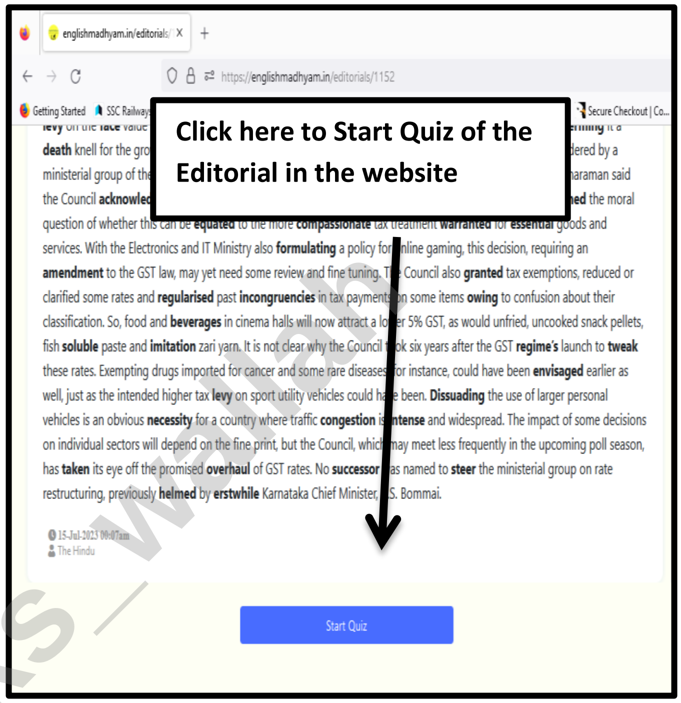
1. **Infusion** (noun) – the introduction of a new element or quality into something. डालना
2. **Currency swap** (noun) – financial agreement between two parties to exchange money in different currencies over a set period of time. मुद्रा विनिमय
3. **Likely** (adjective) – Probable, Possible, Expected, Plausible, Anticipated संभावित
4. **Volatility** (noun) – Instability, Fluctuation, Uncertainty, Unpredictability, Variability अस्थिरता
5. **Inject** (verb) – Introduce, Add, Infuse, Insert, Supply डालना
6. **Auction** (noun) – Sale, Bidding, Tender, Offer, Selling नीलामी
7. **Address** (verb) – Tackle, Handle, Deal with, Confront, Resolve सुलझाना
8. **Stem from** (phrasal verb) – Originate from, Arise from, Result from, Derive from, Come from उत्पन्न होना
9. **Flight** (noun) – the selling of currency or shares by many investors.
10. **Seek** (verb) – Pursue, Search, Aim, Strive, Attempt तलाश करना
11. **Proposed** (adjective) – Suggested, Planned, Intended, Recommended, Proposed प्रस्तावित
12. **Strengthen** (verb) – Fortify, Reinforce, Boost, Enhance, Intensify मजबूत करना
13. **Mark** (verb) – Indicate, Signify, Represent, Highlight, Symbolize चिह्नित करना
14. **Unlike** (preposition) – Different from, In contrast to, As opposed to, Contrary to, Dissimilar to के विपरीत
15. **Tranche** (noun) – Portion, Segment, Part, Installment, Slice हिस्सा
16. **Tenor** (noun) – Duration, Term, Period, Span, Timeframe अवधि
17. **Lender** (noun) – Creditor, Bank, Financier, Moneylender, Investor उधारदाता
18. **Buyback premium** (noun) – the price at which a company buys back its own shares from shareholders, which is usually higher than the current market price.
19. **Deploy** (verb) – Utilize, Employ, Position, Dispatch, Mobilize उपयोग करना
20. **Stabilise** (verb) – Balance, Steady, Secure, Firm, Strengthen स्थिर करना
21. **Mitigate** (verb) – Alleviate, Reduce, Lessen, Ease, Diminish कम करना
22. **Liquidity** (noun) – the state of owning things of value that can be exchanged for cash

23. **Constraint** (noun) – Limitation, Restriction, Barrier, Obstacle, Hindrance बाधा
24. **Curb** (verb) – Restrict, Control, Limit, Check, Suppress रोकना
25. **Inflationary** (adjective) – Price-rising, Cost-increasing, Escalating, Surge-driven, Inflation-driven मुद्रास्फीति संबंधी
26. **Neutralise** (verb) – Counteract, Offset, Balance, Nullify, Cancel out निष्प्रभावी करना
27. **Deficit** (noun) – Shortage, Lack, Deficiency, Insufficiency, Scarcity कमी
28. **Constrain** (verb) – Restrict, Limit, Restrain, Confine, Hinder सीमित करना
29. **Depreciate** (verb) – Devalue, Decline, Diminish, Reduce, Weaken मूल्य घटना
30. **Mark** (noun) – Level, Point, Stage, Threshold, Indicator स्तर
31. **Foreign portfolio investor** (noun) – an individual, institution, or fund that invests in a foreign country's financial assets. These assets include stocks, bonds, mutual funds, and exchange-traded funds (ETFs)
32. **Foreign institutional investor** (noun) – a large investment institution that invests in a country other than its own. FIIs are important to emerging economies because they bring capital to businesses
33. **Given** (preposition) – Considering, Taking into account, In view of, Bearing in mind, Regarding देखते हुए
34. **Proactive** (adjective) – Forward-looking, Preventive, Preemptive, Active, Initiative सक्रिय
35. **Capitalise** (on) (verb) – Exploit, Utilize, Leverage, Benefit from, Take advantage of फायदा उठाना
36. **Intact** (adjective) – Whole, Unbroken, Undamaged, Complete, Unharmed अक्षुण्ण/ ज्यों का त्यों
37. **Propel** (verb) – Drive, Push, Motivate, Spur, Stimulate प्रेरित करना
38. **Prevailing** (adjective) – Current, Existing, Dominant, Widespread, Common प्रचलित
39. **Headwind** (noun) – Obstacle, Challenge, Resistance, Setback, Difficulty प्रतिकूल परिस्थिति

Summary of the Editorial

1. **RBI's Currency Swap**: The RBI injected $10 billion into the financial system through a dollar/rupee swap auction to address long-term liquidity concerns.
2. **Liquidity Concerns**: Domestic lenders face liquidity constraints due to foreign capital outflows from Indian stock markets.
3. **Global Financial Volatility**: Investors are shifting to U.S. markets for better returns amid Trump's corporate tax cuts and tariff wars, strengthening the dollar.
4. **Second Infusion**: This is the second rupee infusion in less than a month, following a $5 billion swap with a six-month tenor on January 31.
5. **Three-Year Tenor**: The latest swap has a three-year duration, providing long-term liquidity support to banks.
6. **Total Liquidity Injection**: The two swaps will inject approximately ₹1.3 trillion into the banking system.
7. **Currency Swap Mechanism**: Banks deposit dollar reserves with the RBI in exchange for rupees at a pre-determined buyback premium.
8. **Stabilizing the Rupee**: The swap aims to stabilize the rupee, mitigate liquidity constraints, and curb inflationary pressures.
9. **Additional Infusion Needed**: Economists estimate another $5 billion may be required to address the ₹1.7 trillion liquidity deficit.
10. **Historical Context**: This is the RBI's second long-duration currency swap, the first being in 2019 during Trump's initial term.
11. **Rupee Depreciation**: The rupee depreciated 3.3% against the dollar between October 2024 and February 2025, breaching the 85 per dollar mark.
12. **Foreign Capital Outflows**: Foreign investors withdrew approximately $31 billion from Indian equity markets during this period.
13. **RBI's Forex Reserves**: The RBI sold $111.2 billion (18% of its forex reserves) since December 2024 to stabilize the rupee.
14. **Necessity, Not Proactiveness**: The long-term swap appears to be a necessity due to challenging global and domestic financial conditions.
15. **Economic Growth**: Banks must use the liquidity infusion to extend credit, supporting capital investment, employment, wage growth, and consumer demand to boost India's GDP growth beyond 6.4%.

Practice Exercise: Banking Pattern Based



[Click here to download App]

[Click here to visit website]


Recent Posts
No holds barred: The Hindu (Aug-13-2022)
13-Aug-2022 JYOTI Free
The Inequality challenge for Ind.. (Aug-12-2022)
12-Aug-2022 JYOTI Premium
A timely gesture: The Hindu (Aug-12-2022)
12-Aug-2022 JYOTI Premium
Just in case: The Hindu (Aug-12-2022)
12-Aug-2022 JYOTI Free
See all
Daily Quiz >
One word Substitution: 01
Main Material Practice Feed Video
Learn Vocabulary Through Reading Articles
English Madhyam
©mocks_wallah